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Case Number: 25STCV09820 Hearing Date: July 10, 2026 Dept: T

Miguel Torresblanco vs RPA CP Opportunity Trust 1, et al.

Demurrer to Plaintiff's First Amended Complaint

Moving Party: Defendants Real Time Resolutions, Inc. and RRA CP Opportunity Trust 1

Responding Party: Plaintiff Miguel Torresblanco

Tentative Ruling: Sustain

BACKGROUND

On April 2, 2025, Plaintiff Miguel Torresblanco ("Plaintiff") filed a verified complaint against Defendants RRA CP Opportunity Trust 1 ("RRA"), Real Time Resolutions, Inc. ("RTR"), Homebridge Management, Inc. ("Homebridge"), Bank Of America Corporation, a Delaware corporation ("BOA"), and Does 1 to 50, alleging the following causes of action: (1) breach of contract – third party beneficiary; (2) breach of implied covenant; (3) violation of Fair Debt Collection Practices Act ("FDCPA"); (4) violation of California Civil Code § 2924.17; (5) violation of the Rosenthal Fair Debt Collections Practices Act; (6) unfair business practices – violation of Business & Professions Code § 17200, et seq.; (7) quiet title; and (8) fraud.

On May 6, 2025, Homebridge filed a notice of removal of the action to federal court.

On June 27, 2025, Plaintiff filed a first amended complaint (“FAC”), alleging the following causes of action: (1) breach of contract – third party beneficiary; (2) breach of implied covenant; (3) violation of Fair Debt Collection Practices Act (“FDCPA”); (4) violation of California Civil Code § 2924.17; (5) violation of the Rosenthal Fair Debt Collections Practices Act; (6) unfair business practices – violation of Business & Professions Code § 17200, et seq.; (7) wrongful foreclosure/cancellation of trustee’s deed; (8) quiet title; and (9) fraud.

On February 23, 2026, after finding that Plaintiff’s FDCPA claim was time-barred, the federal court granted in part RRA and RTR’s (collectively “Defendants”) motion to dismiss the third cause of action and declined to exercise supplemental jurisdiction over the remaining causes of action.

On March 2, 2026, the Court received a notice of remand from the federal court.

Defendants now demur to the FAC on the basis that the trustee’s sale to Homebridge is conclusively presumed valid. Defendants also demur to the first, second, fourth, fifth, sixth, and seventh causes of action in the FAC on the noticed grounds.

Plaintiff opposes, and Defendants reply.

MOVING PARTY POSITION

Defendants initially argue that all of Plaintiff’s causes of action are subject to demurrer on the basis that the trustee’s sale to Homebridge is conclusively presumed valid.

Defendants argue that the first and second causes of action for breach of contract and breach of implied covenant are subject to demurrer because (1) Plaintiff lacks standing to claim a breach of RTR’s servicing agreement for the Home Equity Line of Credit (“HELOC”) loan, (2) Plaintiff cannot allege his performance under the agreement, (3) Plaintiff admits RTR sent periodic statements, (4) Plaintiff’s Truth in Lending Act

(“TILA”) claim based on the alleged failure to provide periodic statements is time-barred, and (5) Plaintiff fails to alleged any damage resulting from the purported lack of receipt of periodic statements.

Defendants argue that the fifth cause of action for violation of the Rosenthal Fair Debt Collection Practices Act (“RFDCPA”) is subject to demurrer because (1) the RFDCPA claim is time-barred, (2) Plaintiff fails to identify any violative conduct that would support this claim, and (3) Plaintiff’s allegations regarding Defendants’ ability to enforce the HELOC Deet of Trust do not implicate “debt collection” under the RFDCPA.

Defendants argue that the fourth cause of action for violation of Civil Code section 2924.17 is subject to demurrer because the supporting allegations do not set forth sufficient facts that raise the right to relief above the speculative level as to whether RTR fulfilled its statutory obligations as servicer of the HELOC loan.

Defendants argue that the sixth cause of action for unfair competition is subject to demurrer because (1) Plaintiff fails to sufficiently allege with requisite particularity the unfair, unlawful, or fraudulent conduct by Defendants, (2) Plaintiff fails to plead any valid underlying claim, and (3) Plaintiff lacks standing to assert this claim because he cannot allege the loss of money or property based on his default.

Defendants argue that the seventh cause of action for wrongful foreclosure/cancellation of trustee’s deed is subject to demurrer because (1) Plaintiff fails to allege the requisite tender of the amount due prior to initiating the lawsuit, (2) Plaintiff fails to plead any illegality or fraud as to the trustee’s sale of the subject property, as none of the reasons alleged in the FAC are factually supported or legally valid.

OPPOSITION

Plaintiff initially contends that the conclusive presumption of validity does not apply to a void foreclosure and that his allegations of an invalid substitution of trustee, RTR’s failure to review competent and reliable evidence under Civil Code section 2924.17, the misleading payoff representations, and the wrongful rejection of tender sufficiently establish the presence of defects that would render the foreclosure sale of the subject property void or voidable.

Plaintiff contends that he sufficiently alleged wrongful foreclosure. His tender is excused as based on his allegations that the foreclosure sale is void due to the invalid substitution of trustee, dual tracking, and Homeowner Bill of Rights (“HBOR”) violations, and as based on his allegations that Defendants prevented him from tendering the full amount of the secured debt by misleading Defendant into believe that the foreclosure sale would be postponed. Plaintiff further contends that the Court should excuse tender on equitable grounds because of RTR’s alleged conduct in the servicing of the HELOC loan, including RTR’s alleged failure to provide period statements.

Plaintiff contends that he sufficiently alleged a violation of Civil Code section 2924.17, as the RTR acted only as the “attorney-in-fact” for RRA when it substituted ZBS Law, LLP (“ZBS”) as trustee, resulting in an invalid substitution of trustee that rendered the Notice of Default and all subsequent acts void. RTR’s issuance of the monthly statement on October 31, 2024, while simultaneously allowing foreclosure on November 7, 2024, constituted dual tracking and was a violation of the HBOR that render the sale voidable.

Plaintiff contends that he sufficiently alleged a violation of the RFDCPA and that this claim is not time-barred of the alleged ongoing conduct, including communications and payoff demands in 2023 and 2024, that constitute a continuing course of conduct sufficient to bring the claim within the limitations period.

Plaintiff contends that he sufficiently alleged a UCL claim because the FAC sets forth (1) multiple predicate statutory and regulatory violations that establish Defendants’ unlawful conduct by Defendants, (2) oppressive and inequitable behavior in the servicing and foreclosure of his loan that establish their unfair conduct, and (3) issuance of communications inconsistent with an intent to foreclose that establish fraudulent conduct. Plaintiff also contends that he has standing to bring this UCL claim based on the alleged loss of his property through foreclosure.

Plaintiff finally requests leave to amend if any pleading deficiency is found by the Court.

REPLY

Defendants initially respond that Plaintiff's opposition does not address the demurrer to either his first or second causes of action for breach of contract and breach of implied covenant, and the Court should consider the demurrer to these causes of action as unopposed.

Defendants respond that Plaintiff fails to set forth particular facts in support of the claimed violation of Civil Code section 2924.17.

Defendants respond that the RFDCPA claim is time-barred because Plaintiff does not allege any conduct within one year of the original complaint's filing date that purportedly violated the RFDCPA. The alleged failure to provide periodic statements after the Notice of Default was issued does not support this claim.

Defendants respond that Plaintiff lacks standing to bring the UCL claim because the alleged loss of the Property is not as a result of Defendants' conduct.

Defendants respond that Plaintiff fails to allege or excuse his tender of the full amount due on the HELOC loan and that Plaintiff fails to plead any illegality or fraud as to the trustee's sale of the property.

ANALYSIS

I. Legal Standard

The primary function of a pleading is to give the other party notice so that it may prepare its case [citation], and a defect in a pleading that otherwise properly notifies a party cannot be said to affect substantial rights." (Harris v. City of Santa Monica (2013) 56 Cal.4th 203, 240.) "A demurrer tests the legal sufficiency of the factual allegations in a complaint." (Ivanoff v. Bank of America, N.A. (2017) 9 Cal.App.5th 719, 725.) It raises issues of law, not fact, regarding the form or content of the opposing party's complaint. (Code Civ. Proc. §§ 422.10, 589; see, also, Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) It is not the function of the demurrer to challenge the truthfulness of the complaint; and for purposes of the ruling on the demurrer, all facts pleaded in the complaint are assumed to be true. (Donabedian, supra, 116 Cal.App.4th at 994.)

The general rule is that the plaintiff need only allege ultimate facts, not evidentiary facts. (Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550.) “All that is required of a plaintiff, as a matter of pleading, even as against a special demurrer, is that his complaint set forth the essential facts of the case with reasonable precision and with sufficient particularity to acquaint the defendant with the nature, source and extent of his cause of action.” (Rannard v. Lockheed Aircraft Corp. (1945) 26 Cal.2d 149, 156–157.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Id.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245.)

II. Meet and Confer

Per the declaration of Defendants’ counsel Jennifer L. Andrews, counsel for the parties met and conferred by telephone and were unable to resolve the issues underlying the instant demurrer. (Andrews Decl. ¶ 2.)

III. Request for Judicial Notice

Per Defendants’ request, the Court takes judicial notice of the specified public records for the subject property and federal and state court records, identified as Exhibits 1 through 12. (Evid. Code §§ 452, subds. (c)–(d), (h);

see Scott v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 743, 754.)

The Court on its own motion also takes judicial notice of the records in the related case entitled Sarkis Gezalyan v. Azat Gezalyan, et al., bearing Case No. 24NNCV01970. (Evid. Code § 452, subds. (d), (h).)

IV. Discussion

Initially, to the extent that Plaintiff alleges facts in the FAC that are inconsistent with judicially noticed facts, the Court shall not accept as true any conflicting factual allegations. (Scott, supra, 214 Cal.App.4th at p. 754, italics in original [“Where, as here, judicial notice is requested of a legally operative document—like a contract—the court may take notice not only of the fact of the document and its recording or publication, but also facts that clearly derive from its legal effect.”]; see, e.g., Kalnoki v. First American Trustee Servicing Solutions, LLC (2017) 8 Cal.App.5th 23, 36 [rejecting contradictory allegations regarding identity of the deed of trust’s beneficiary].)

Here, Plaintiff alleges that he is and was the owner of real property located at 520-522 N. Fairview Street, Burbank, California 91505 (the “Property”). (FAC ¶ 21.) On October 11, 2005, Plaintiff executed a $116,250 HELOC with Countrywide Bank, N.A., (“Countrywide”) that was secured by a deed of trust recorded on October 20, 2005 (the “Deed of Trust”). (Id. ¶ 22) The Deed of Trust defined Plaintiff as borrower and trustor, Countrywide as lender, ReconTrust Company, N.A., (“ReconTrust”) as trustee, and Mortgage Electronic Registration Systems, Inc. (“MERS”) as the sole beneficiary under the deed. (Request for Judicial Notice (“RJN”), Exh. 3.) In the Deed of Trust, Plaintiff irrevocably granted, transferred and assigned to ReconTrust, “in trust and with power of sale,” the Property. (Ibid.)

On June 17, 2013, an assignment of the Deed of Trust was recorded, reflecting the assignment of MERS’ interest as beneficiary under the deed to the Bank of New

York Mellon, as trustee on behalf of the certificate holders of the CWHEQ inc., CWHEQ revolving home equity loan trust, series 2005-M, which was executed on May 30, 2013. (RJN, Exh. 4.)

On June 16, 2017, a corporate assignment of the Deed of Trust was recorded, reflecting the assignment of the Bank of New York Mellon's beneficial interest to RRA, which was executed on May 22, 2017. (RJN, Exh.5.)

On June 13, 2023, a substitution of trustee for the Deed of Trust was recorded, reflecting the substitution of original trustee ReconTrust for successor trustee ZBS Law, LLP (the "Firm"), which was executed on June 5, 2023. (RJN, Exh. 6.) The recorded document also noted that RRA was the current beneficiary under the Deed of Trust and authorized this substitution of trustee pursuant to the terms and authority granted under the deed. (Ibid.) That same day, on June 13, the Firm recorded a notice of default and election to sell under the Deed of Trust. (RJN, Exh. 7.)

On October 9, 2024, a notice of trustee's sale for the subject property was recorded, which identified the date of sale as November 7, 2024, at 11:00 am. (RJN, Exh. 8.) On its own motion, the Court also takes notice of the fact that, on November 7, 2024, it denied an ex parte application by Plaintiff in a related action, that sought the issuance of a temporary restraining order to restrain the trustee's sale of the Property. (Case No. 24NNCV05597, Min. Order, 11/7/2024.) That same day, the public auction took place as noticed, and the Property was purchased by Homebridge for $145,000.00. (RJN, Exh. 11.) On November 3, 2025, a trustee's deed upon sale was recorded, reflecting that the Firm, "as Trustee, (whereas so designated in the Deed of Trust hereunder more particularly described or as duly appointed Trustee)" granted and conveyed all right, title, and interest in the Property to Homebridge. (Ibid.)

A. Wrongful Foreclosure (Seventh Cause of Action)

Although a borrower has standing to maintain a wrongful foreclosure cause of action under the narrow circumstances addressed by the Supreme Court in Yvanova v. New Century Mortgage Corp.

(2016) 62 Cal.4th 919, Plaintiff failed to allege sufficient facts to establish their standing to bring a wrongful foreclosure cause of action against Defendants under the alleged circumstances and judicially noticeable facts of this case.

"A deed of trust to real property acting as security for a loan typically has three parties: the trustor (borrower), the beneficiary (lender), and the trustee." (Yvanova, supra, 62 Cal.4th at p. 926.) "The trustee of a deed of trust is not a true trustee with fiduciary obligations, but acts merely as an agent for the borrower-trustor and lender-beneficiary." (Id. at p. 927.) "While it is the trustee who formally initiates the nonjudicial foreclosure, by recording first a notice of default and then a notice of sale, the trustee may take these steps only at the direction of the person or entity that currently holds the note and the beneficial interest under the deed of trust—the original beneficiary or its assignee—or that entity's agent." (Ibid.) "A deed of trust may thus be assigned one or multiple times over the life of the loan it secures. But if the borrower defaults on the loan, only the current beneficiary may direct the trustee to undertake the nonjudicial foreclosure process." (Id. at pp. 927–928.)

"Standing is a threshold issue necessary to maintain a cause of action, and the burden to allege and establish standing lies with the plaintiff." (Mendoza v. JPMorgan Chase Bank, N.A. (2016) 6 Cal.App.5th 802, 810.) "When an assignment is merely voidable, the power to ratify or avoid the transaction lies solely with the parties to the assignment; the transaction is not void unless and until one of the parties takes steps to make it so. A borrower who challenges a foreclosure on the ground that an assignment to the foreclosing party bore defects rendering it voidable could thus be said to assert an interest belonging solely to the parties to the assignment rather than to herself." (Yvanova, supra, 62 Cal.4th at p. 936.) However, "[u]nlike a voidable transaction, a void one cannot be ratified or validated by the parties to it even if they so desire." (Ibid.) Accordingly, a "home loan borrower has standing to claim a nonjudicial foreclosure was wrongful because an assignment by which the foreclosing party purportedly took a beneficial interest in the deed of trust was not merely voidable but void, depriving the foreclosing party of any legitimate authority to order a trustee's sale." (Id. at pp. 942–943, emphasis added.)

Although Plaintiff offers the conclusory allegation that, “[b]etween 2013 and 2017 the beneficial interest in the Junior DOT migrated through a series of opaque assignments ultimately landing with Defendant RPA [sic] CP Opportunity Trust 1,” Plaintiffs fail to allege facts that controvert the chain of assignments establishing the assignment of this beneficial interest to RPA prior to the issuance of the notice of default. (FAC ¶ 31.) Nor does Plaintiff allege any facts establishing that the May 22, 2017, assignment of this beneficial interest was void, or that any prior assignments of this beneficial interest in this chain were void; Instead, Plaintiff offers the conclusory allegation that the substitution of trustee was “was executed by an entity that held no beneficial interest in the deed of trust[.]” (FAC ¶ 110a; see, e.g., Mendoza, supra, 6 Cal.App.5th at p. 811, italics in original [“Plaintiff maintains that her allegation that the assignment is void is sufficient to survive a demurrer, particularly in light of the Supreme Court’s holding in Yvanova. Not so. We are required to assume the truth of plaintiff’s factual allegations, not her legal conclusions”].) Though Plaintiff argues in his opposition that RTR’s role as attorney-in-fact in executing this substitution on June 5, 2023, renders it void because it was conducted by an entity lacking authority to do so, Plaintiff cites no legal authority for the proposition that RRA’s use of an attorney-in-fact to effectuate this substitution was improper under Civil Code section 2934a; Nor does Plaintiff plead facts establishing that RTR lacked authority to do so. Nor does Plaintiff plead any affirmative facts showing that the Firm was not authorized to record the deed of sale following this substitution. (Cf. Ram v. OneWest Bank, FSB (2015) 234 Cal.App.4th 1, 13 [finding that it was the plaintiff’s burden to plead affirmative facts because it is presumed the nonjudicial foreclosure was properly conducted].) As a result, the FAC fails to state facts from which it may be inferred that the notice of default or the notice of trustee's sale was invalid based on a void assignment of the beneficial interest or void substitution of the trustee.

Moreover, to the extent that Plaintiff seeks to establish the foreclosure sale as void based on alleged violations of Civil Code sections 2923.55, 2923.6, 2924.10, 2924.11, (FAC ¶¶ 27, 37, and 101c), which the Court notes that these sections apply only to mortgages or deeds of trust described by Civil Code section 2924.15. (Civ. Code § 2924.1, subd. (a) [“[U]nless otherwise provided, paragraph (5) of subdivision (a) of Section 2924 and Sections 2923.5, 2923.55, 2923.6, 2923.7, 2924.9, 2924.10, 2924.11, and 2924.18 shall apply only to a first lien mortgage or deed of trust that is secured by owner-occupied residential real property containing no more than four dwelling units."].) As Plaintiff alleges that the subject loan is a junior mortgage on the Property, violations of these sections cannot serve as the basis for rendering the foreclosure sale void or excusing the tender of the full amount of the loan as a requisite element for Plaintiff's wrongful foreclosure claim. (FAC ¶¶ 22–23, 41.)

As to remaining procedural irregularities that Plaintiff alleges invalidated the sale, "[t]o successfully challenge a foreclosure sale based on a procedural irregularity, the plaintiff must show both that there was a failure to comply with the procedural requirements for the foreclosure sale and that the irregularity prejudiced the plaintiff." (Citrus El Dorado, LLC v. Chicago Title Co. (2019) 32 Cal.App.5th 943, 950, italics in original.) However, Plaintiff failed to set forth factual allegations that show both a failure to comply with the statutory requirements and the resulting prejudice to him. (See generally FAC.) Nor does Plaintiff set forth facts that sufficiently establish fraud as an alternative basis for voiding the sale. (Ibid.)

Accordingly, "[w]here tendering is required and not excused, a plaintiff seeking to set aside an irregular sale must allege tender of the full amount of the loan to maintain any cause of action that either is based on the wrongful foreclosure allegations or seeks redress from that foreclosure." (Turner v. Seterus, Inc. (2018) 27 Cal.App.5th 516, 525.) As Plaintiff failed to sufficiently allege facts establishing his tender of the full amount of the loan or an excuse from the tender requirement, Plaintiff fails to state a claim for wrongful foreclosure against Defendants.

Thus, as there appears to be no reasonable possibility that Plaintiffs can state a good cause of action for wrongful disclosure, the demurrer to the seventh cause of action is sustained without leave to amend.

B. Violation of Civil Code § 2924.17
(Fourth Cause of Action)

Civil Code section 2924.17 states in pertinent part: "A declaration recorded pursuant to Section 2923.5 or pursuant to Section 2923.55, a notice of default, notice of sale, assignment of a deed of trust, or substitution of trustee recorded by or on behalf of a mortgage servicer in connection with a foreclosure subject to the requirements of Section 2924, or a declaration or affidavit filed in any court relative to a foreclosure proceeding shall be accurate and complete and supported by competent and reliable evidence."

(Civ. Code, § 2924.17, subd. (a).) In addition, "[b]efore recording or filing any of the documents described in subdivision (a), a mortgage servicer shall ensure that it has reviewed competent and reliable evidence to substantiate the borrower's default and the right to foreclose, including the borrower's loan status and loan information." (Civ. Code, § 2924.17, subd. (b).)

In support of this cause of action, Plaintiff alleges the following: "Defendant REAL TIME clearly failed to evaluate competent and reliable evidence related to Plaintiff's loan, as demonstrated by the loan file would contain little to no evidence of communications for the loan, no collection efforts, no periodic statements, and no accounting for the loan. In fact, the loan file would have effectively had no information for the loan or regarding the purported default." (FAC ¶ 85.) However, this conclusory allegation does not suffice to establish a violation of Section 2924.1; nor does it satisfy Plaintiff's burden to plead facts affirmatively showing a violation of this section given the rebuttable presumption of compliance arising from the recitals made in the Deed of Trust. (Civ. Code, § 2924, subd. (c); RJN, Exh. 11.)

Thus, as there appears to be no reasonable possibility that Plaintiffs can state a good cause of action for a violation of Section 2924.17, the demurrer to the fifth cause of action is sustained without leave to amend.

C. Violation of the RDCPA (Fifth Cause of Action)

Under Civil Code section 1788.30, which establishes the liability of a debt collector under the RDCPA, "[a]ny action under this section may be brought in any appropriate court of competent jurisdiction in an individual capacity only, within one year from the date of the occurrence of the violation." (Civ. Code § 1788.30, subd. (f).)

"The limitations period commences

when the cause of action accrues. [Citations.]" (E-Fab, Inc. v. Accountants, Inc. Services (2007) 153 Cal.App.4th 1308, 1317.) "Generally speaking, a cause of action accrues at 'the time when the cause of action is complete with all of its elements.' [Citation.]" (Fox v. Ethicon Endo-Surgery, Inc. (2005) 35 Cal.4th 797, 806.) "An important exception to the general rule of accrual is the 'discovery rule,' which postpones accrual of a cause of action until the plaintiff discovers, or has reason to discover, the cause of action." (Id. at p. 806.) "A plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence. The burden is on the plaintiff to show diligence, and conclusory allegations will not withstand demurrer." (E-Fab, Inc., supra, 153 Cal.App.4th at p. 1319.) Although resolution of the statute of limitations issues is normally a question of fact, (Fox, supra, 35 Cal.4th at p. 810), "whenever reasonable minds can draw only one conclusion from the evidence, the question becomes one of law." (Snow v. A.H. Robins Co. (1985) 165 Cal.App.3d 120, 128.)

In the FAC, Plaintiff alleges the following as to all of his claims: "In the present case, Defendants have not sent monthly statements to Plaintiff at any point since the servicing of the loan was transferred to Defendant REAL TIME. Plaintiff did not receive any monthly statements on this junior loan until Plaintiff early 2023. This was also the first time he discovered Defendants RRA and REAL TIME were charging interest on this loan. Therefore, the statute of limitations for Plaintiffs' claims were tolled until 2023." (FAC ¶ 50.) Furthermore, none of the alleged conduct underlying his RDCPA claim occurred within one year of the filing of his complaint on April 2, 2025. (See generally FAC.) As the FAC shows on its face that Plaintiff's RDCPA claim would be barred without the benefit of the discover rule, and as Plaintiff failed to plead specific facts showing an inability to make this discovery earlier despite reasonable diligence, the Court finds as a matter of law that this claim is barred under Section 1788.30(f).

Thus, as there appears to be no reasonable possibility that Plaintiffs can state a good cause of action for a violation of the RDCPA, the demurrer to the fifth cause of action is sustained without leave to amend.

D. Remaining Causes of Action

With respect to the first and second causes of action for breach of contract and breach of implied covenant, as Plaintiff failed to oppose the demurrer to either of these causes of action, it appears that Plaintiff concedes the merits of the objections made by Defendants. Nevertheless, in considering the merits of Defendants’ argument, the Court finds that Plaintiff failed to plead facts sufficient to establish the requisite elements of either claim. (Coles v. Glaser (2016) 2 Cal.App.5th 384, 391, internal quotations omitted [“The elements of a cause of action for breach of contract are: (1) the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to plaintiff.”]; Smith v. City and County of San Francisco (1990) 225 Cal.App.3d 38, 49 [“The prerequisite for any action for breach of the implied covenant of good faith and fair dealing is the existence of a contractual relationship between the parties, since the covenant is an implied term in the contract.”]; see generally FAC.)

With respect to the sixth cause of action for unfair competition, “unfair competition” means “any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising and any act prohibited by Chapter 1 (commencing with Section 17500) of Part 3 of Division 7 of the Business and Professions Code.” (Bus. & Prof. Code, § 17200.) “‘[S]ection 17200 is written in the disjunctive [and] establishes three varieties of unfair competition—acts or practices which are unlawful, or unfair, or fraudulent.” [Citation.] The three prongs of the law have different thresholds. Under its ‘unlawful’ prong, ‘the UCL borrows violations of other laws ... and makes those unlawful practices actionable under the UCL.’ [Citation.] Thus, a violation of another law is a predicate for stating a cause of action under the UCL's unlawful prong. In a consumer case, determining whether a business practice is ‘unfair’ involves ‘weigh[ing] the utility of the defendant’s conduct against the gravity of the harm to the alleged victim.’ [Citation.]” (Prakashpalan v. Engstrom, Lipscomb & Lack (2014) 223 Cal.App.4th 1105, 1133.) As Plaintiff failed to sufficiently allege facts establishing the requisite unlawful, unfair, or fraudulent conduct for this claim, there is no predicate act to support Plaintiff’s entitlement to seek relief under the UCL. (See generally FAC.)

Thus,

as there appears to be no reasonable possibility that Plaintiffs can state a good cause of action for breach of contract, breach of implied covenant, or a violation of the UCL, the demurrer to the first, second, and sixth causes of action is sustained without leave to amend.

RULING

Defendants' Demurrer to Plaintiff's First
Amended Complaint is SUSTAINED without leave to amend.